MICROSOFT · INVESTOR RELATIONS

Strong Start to Fiscal Year 2022

> Microsoft Cloud Strength Drives First Quarter Results

FY22 Q1 · REPORTED OCTOBER 26, 2021

EXECUTIVE SUMMARY

Top-Line Numbers at a Glance

Three Months Ended September 30, 2021 vs the same period a year ago

REVENUE

$45.3B

+22% Y/Y

OPERATING INCOME

$20.2B

+27% Y/Y

NET INCOME

GAAP

$20.5B

+48% Y/Y

NON-GAAP

$17.2B

+24% Y/Y

DILUTED EPS

GAAP

$2.71

+49% Y/Y

NON-GAAP

$2.27

+25% Y/Y

GAAP net income and diluted EPS include a **$3.3B** one-time net income tax benefit; a full reconciliation follows on slide 6.

Source: M1:p1 (headline bullets); reconciled M1:p4

Satya Nadella on tech intensity and the Microsoft Cloud

> Digital technology is a deflationary force in an inflationary economy.
>
> Businesses – small and large – can improve productivity and the affordability of their products and services by building tech intensity.
>
> The Microsoft Cloud delivers the end-to-end platforms and tools organizations need to navigate this time of transition and change.

Satya Nadella
Chairman and Chief Executive Officer, Microsoft

M1:p1

Amy Hood on Microsoft Cloud momentum

> We delivered a strong start to the fiscal year with our Microsoft Cloud generating **$20.7 billion** in revenue for the quarter, **up 36%** year over year.

Amy Hood
Executive Vice President and Chief Financial Officer, Microsoft
M1:p1

MICROSOFT CLOUD REVENUE

$20.7B

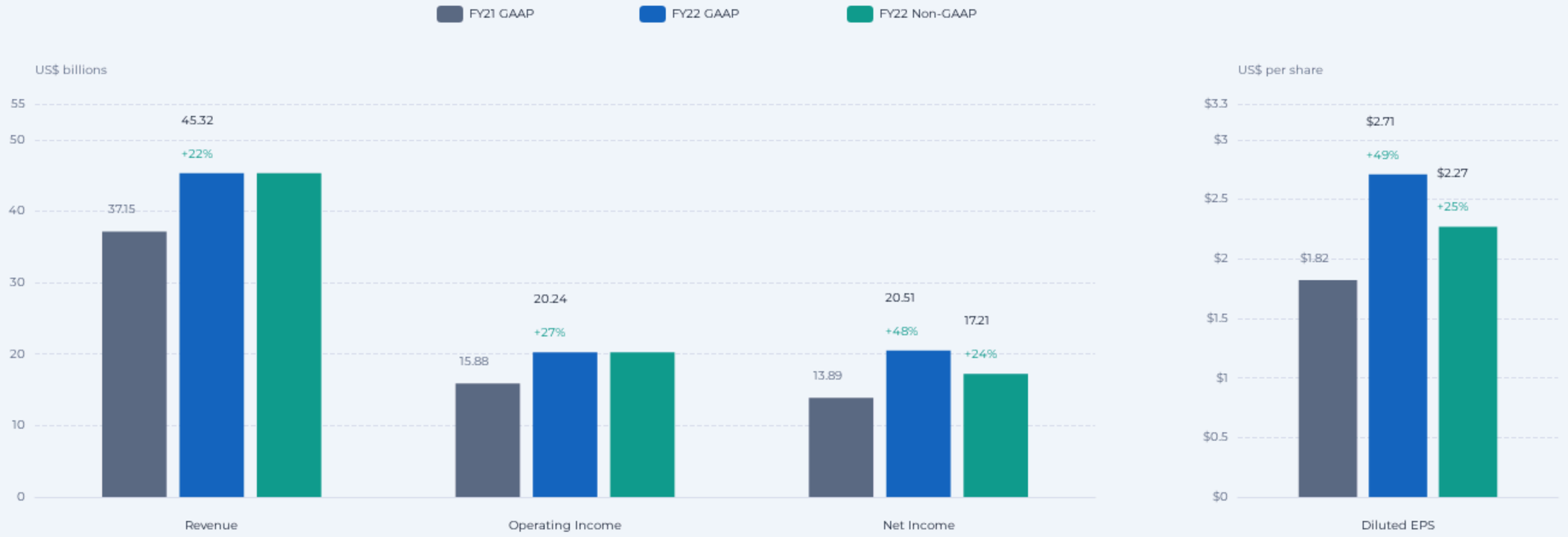
Q1 FY22 • quarter total

+36% Y/Y

Cross-segment view; not equal to any single reporting segment.

Income Statement Highlights — GAAP vs Non-GAAP

Three months ended September 30, 2021 vs 2020 • GAAP shown in blue, Non-GAAP shown in teal



- Non-GAAP equals GAAP for Revenue and Operating Income — the $3.3B one-time tax benefit adjusts only Net Income and Diluted EPS.

Source: M1:p1 (headline); M1:p4 (reconciliation)

GAAP → Non-GAAP Reconciliation

US$ in millions, except per share amounts • Three months ended September 30

	REVENUE	OPERATING INCOME	NET INCOME	DILUTED EPS
2020 As Reported (GAAP)	$37,154	$15,876	$13,893	$1.82
2021 As Reported (GAAP)	$45,317	$20,238	$20,505	$2.71
Net income tax benefit related to transfer of intangible properties	—	—	(3,291)	(0.44)
2021 As Adjusted (non-GAAP)	**$45,317**	**$20,238**	**$17,214**	**$2.27**
% Change Y/Y (GAAP)	22%	27%	48%	49%
% Change Y/Y (non-GAAP)	22%	27%	24%	25%
% Change Y/Y (non-GAAP) • Constant Currency	20%	24%	22%	23%

The single amber-highlighted line — a $3.3B ($3,291M) net tax benefit from an intangible-property transfer — is what causes Net Income and Diluted EPS to differ between GAAP and Non-GAAP. Revenue and Operating Income are unaffected. See slide 7 for the mechanism.

M1:p1 (reconciliation); M1:p4 (constant currency row)

The $3.3 Billion Tax Benefit — What It Is and What It Moves

Why GAAP net income and EPS grew faster than the underlying business

MECHANISM



Future US tax deductions exceed current US GILTI liability →
one-time net tax benefit realized in the tax-provision line.

IMPACT MATRIX

LINE ITEM	GAAP = NON-GAAP?	ADJUSTMENT
Revenue	No divergence	—
Operating Income	No divergence	—
Net Income	GAAP includes tax benefit; Non-GAAP excludes it	−$3,291M
Diluted EPS	GAAP includes tax benefit; Non-GAAP excludes it	−$0.44

One-time event. Do not extrapolate GAAP net income growth into future quarters.

M1:p3 (Non-GAAP Definition) • M1:p1 (impact figures)

CAPITAL ALLOCATION

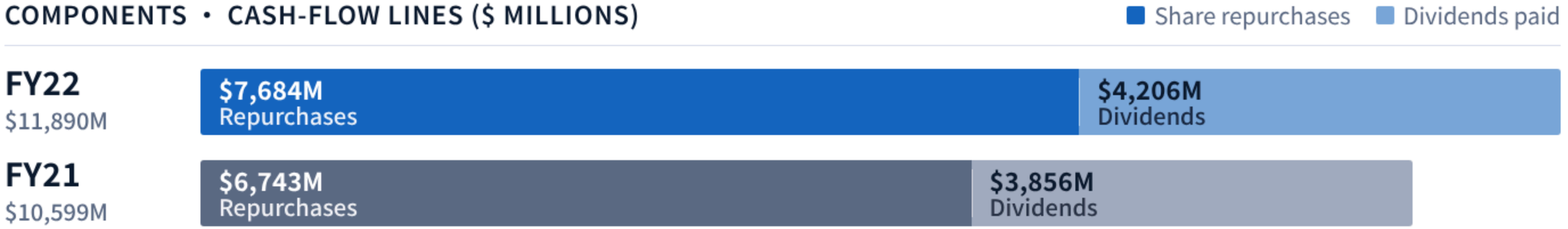
$10.9B Returned to Shareholders

Share repurchases and dividends, Q1 FY22 • +14% versus Q1 FY21

$10.9B

+14% Y/Y Cash returned to shareholders • Q1 FY22 vs Q1 FY21

COMPONENTS • CASH-FLOW LINES ($ MILLIONS)



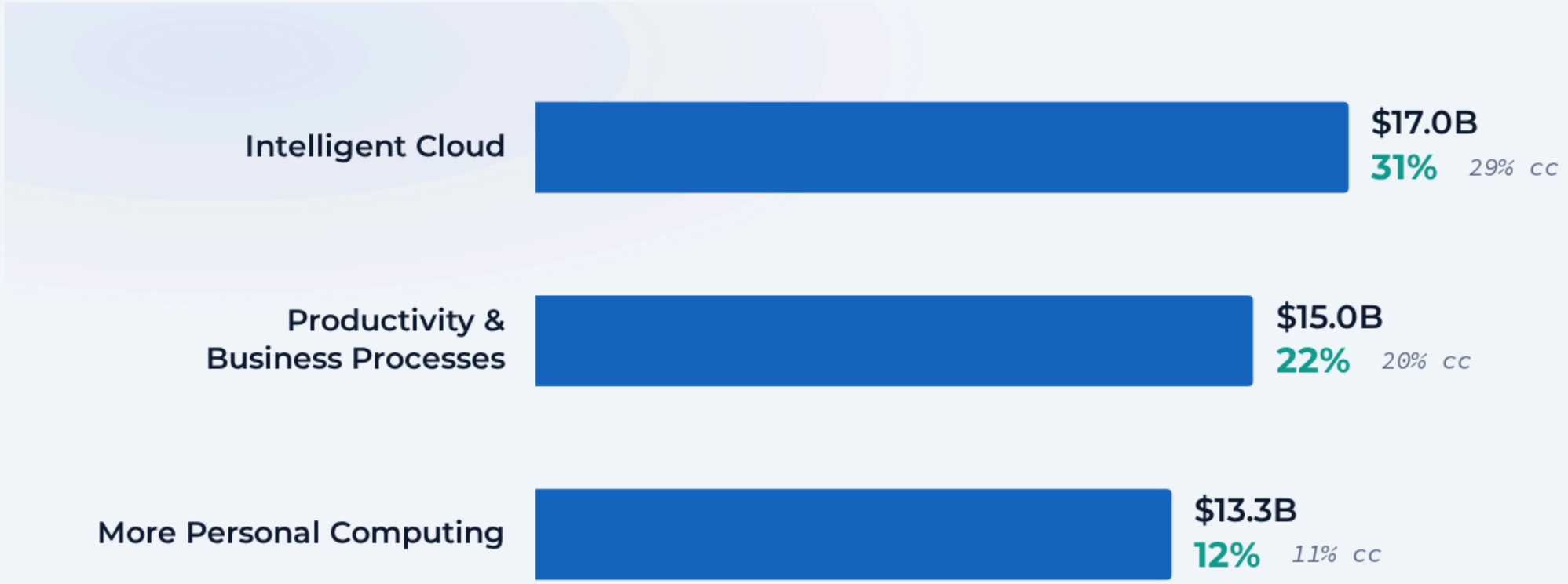
Component totals are cash-flow lines in $ millions; the $10.9B headline is Microsoft's netted IR figure.

M1:p2 (headline); M1:p11 (cash flows)

SEGMENT PERFORMANCE · OVERVIEW

Three Segments, One Quarter

FY22 Q1 revenue by reporting segment • US$ billions



M1:p5 (segment reconciliation); M1:p12 (segment revenue)

$45.3B FY22 Q1 • ALL SEGMENTS

Productivity and Business Processes

$15.0B revenue • +22% Y/Y (+20% constant currency)

SEGMENT REVENUE

$15.0B

+22% as reported

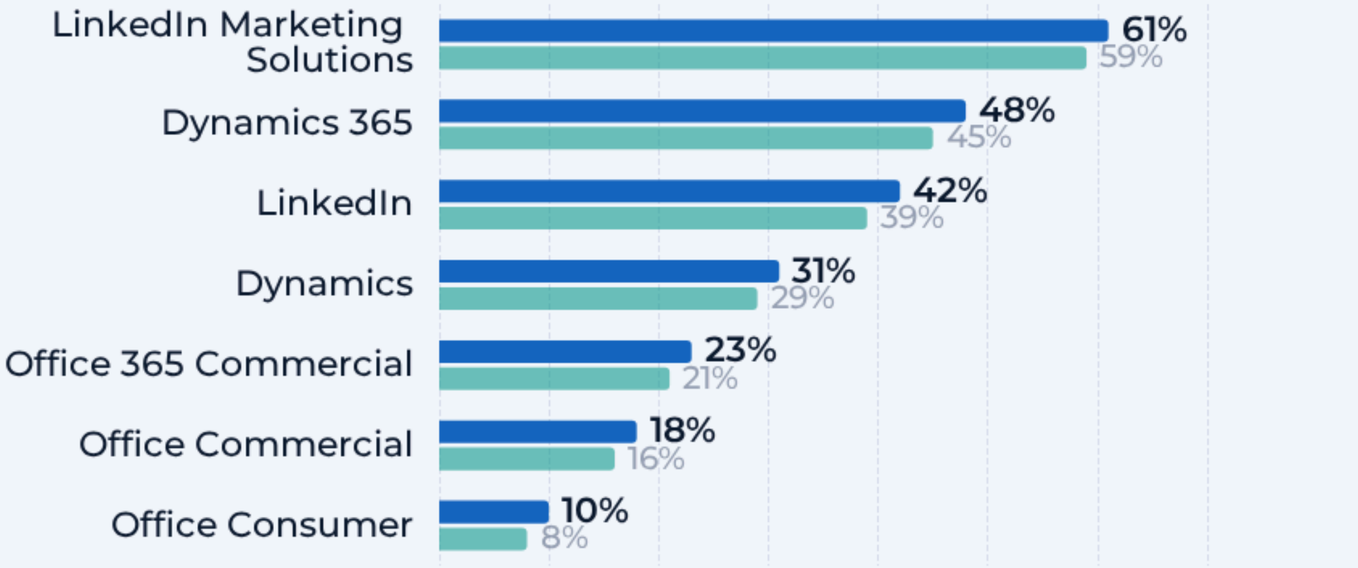
+20% CC

PRODUCT FAMILIES

Office · LinkedIn · Dynamics · Microsoft 365 Consumer

M1:p2 (segment prose); M1:p5 (product-service reconciliation)

PRODUCT GROWTH • Y/Y%



54.1 million Microsoft 365 Consumer subscribers — subscriber count, not a growth rate

Intelligent Cloud

$17.0B revenue • +31% Y/Y (+29% constant currency)

SEGMENT REVENUE

$17.0B

+31% Y/Y

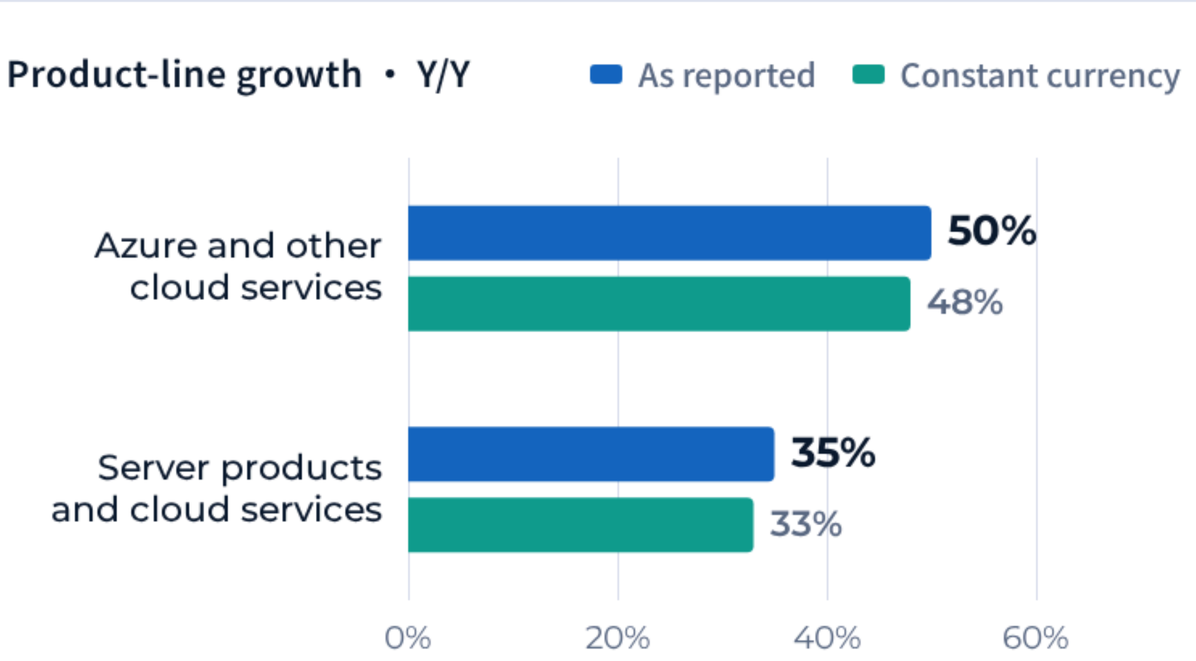
+29% constant currency

PRODUCT FAMILIES IN THIS SEGMENT

- Server products and cloud services
- Azure and other cloud services

Azure sits inside the Server products revenue line and is the segment's fastest-growing component.

Source: M1:p2 (segment prose); M1:p5 (product-service reconciliation)



Server products and cloud services is the parent revenue line; Azure is its fastest-growing component.

More Personal Computing

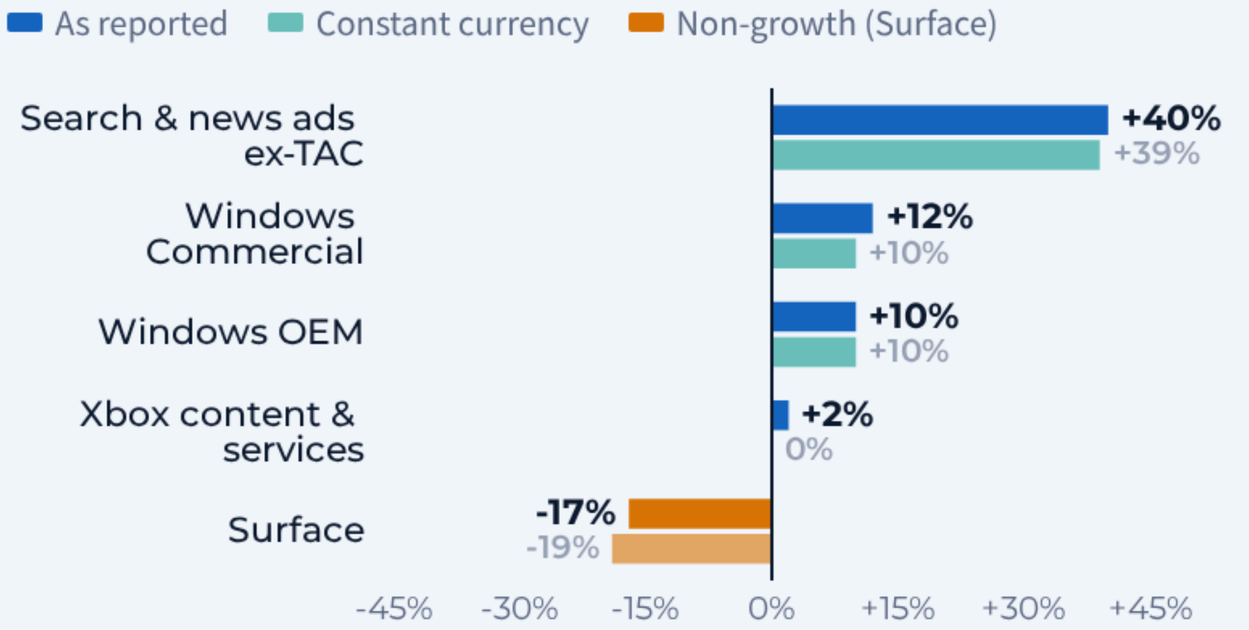
$13.3B revenue • +12% Y/Y (+11% constant currency)

$13.3B

+12% Y/Y | +11% constant currency

PRODUCT FAMILIES

Windows OEM · Windows Commercial · Xbox · Search · Surface



M1:p2 (segment prose); M1:p5 (product-service reconciliation)

Surface is the one non-growth item in this quarter's release. Xbox content and services is described as relatively unchanged in constant currency.

Innovation Is R&D-Driven

The release frames the quarter's product cadence as the output of multi-year R&D investment.

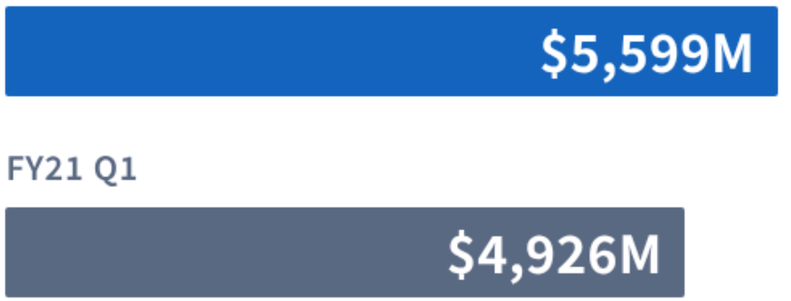
Every quarter Microsoft delivers hundreds of products, either as new releases, services, or enhancements to current products and services. These releases are a result of significant research and development investments, made over multiple years, designed to help customers be more productive and secure and to deliver differentiated value across the cloud and the edge.

Here are the major product releases and other highlights for the quarter, organized by product categories, to help illustrate how we are accelerating innovation across our businesses while expanding our market opportunities.

M1:p2 (intro); M1:p8 (R&D expense line)

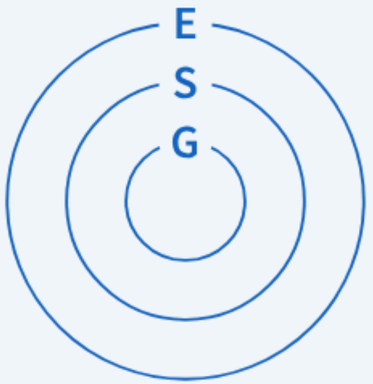
Research and development expense

Three months ended September 30



Individual product releases are not enumerated in the release itself.

Environmental, Social, and Governance



To better execute Microsoft's mission, we focus our Environmental, Social, and Governance (ESG) efforts where we can have the most positive impact. To learn more about our latest initiatives and priorities, please visit our investor relations ESG website.

M1:p3 (ESG paragraph)

Forward-Looking Statements and Risks

Guidance is delivered on the earnings call, not in the release.

Microsoft will provide forward-looking guidance on its earnings conference call and webcast (see next slide for details).

The release notes that forward-looking statements are subject to risks and uncertainties, and that actual results may differ materially. The company notes standard forward-looking risks.

All information in this release is as of **September 30, 2021**. Microsoft undertakes no duty to update forward-looking statements.

M1:p2, M1:p5, M1:p7 (verbatim disclosures)

EARNINGS CALL · REPLAY · CONTACTS

How to Follow Up

microsoft.com/en-us/investor

LIVE 2:30 p.m. Pacific • 5:30 p.m. Eastern • **REPLAY** through October 26, 2022

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M1:p3 (webcast); M1:p7 (contacts)